UNITED STATES SECURITIES AND EXCHANGE COMMISSION

Washington, D.C. 20549

FORM 10-K

ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the fiscal year ended December 31, 2025

Commission File Number: 001-44912

VORTEXIS CYBERNETICS INC.

(Exact name of registrant as specified in its charter)

PAGE 1: ITEM 1. BUSINESS & OPERATIONAL HIGHLIGHTS

Overview

Vortexis Cybernetics Inc. ("Vortexis", the "Company", "we", "us", or "our") is a leading global provider of high-speed optical neural network processors, autonomous drone swarm defense systems, and industrial cyber-physical security software. Headquartered in Seattle, Washington, Vortexis delivers cutting-edge silicon hardware and enterprise AI defense platforms to government agencies and Fortune 500 industrial clients.

During the fiscal year ended December 31, 2025 ("FY2025"), Vortexis achieved a net revenue growth of 18.5% year-over-year, driven by accelerated demand for photonic AI chips and next-generation perimeter defense units.

Segment Overview

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Photonic Neural Hardware: Designs and manufactures silicon-photonics AI accelerators. Delivered 115,000 acceleration units in FY2025, generating $6,820 million (53.1% of total revenues).

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Autonomous Defense Systems: Produces autonomous threat-detection tactical drones and perimeter defense nodes, generating $3,910 million in revenue.

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Cyber-Physical Cloud Security: Provides SaaS-based real-time anomaly detection for industrial Control Systems (ICS/SCADA). Annual Recurring Revenue (ARR) reached $2,120 million, up 31.2% year-over-year.

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Selected Consolidated Financial Data

(in millions, except per share data)

Financial Metric	FY2025	FY2024	FY2023	FY2022
Total Net Revenues	**$12,850**	$10,840	$9,120	$7,650
Gross Profit	**$6,2965**	$5,0868	$4,195	$3,442
Operating Income	**$2,810**	$2,250	$1,810	$1,410
Net Income	**$2,180**	$1,740	$1,390	$1,080
Diluted Earnings Per Share (EPS)	**$6.22**	$5.02	$3.98	$3.05
Cash & Short-Term Investments	**$4,950**	$3,820	$3,100	$2,450
Total Assets	**$21,450**	$18,600	$15,900	$13,400
Total Long-Term Debt	**$3,800**	$4,200	$4,500	$4,800

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Results of Operations - FY2025 Compared to FY2024

Revenues

Total net revenues increased by $2,010 million, or 18.5%, to $12,850 million in FY2025 from $10,840 million in FY2024. The expansion was propelled by a 35.4% growth in Photonic Hardware shipments following the rollout of our Gen-4 Helios optical processing architecture.

Cost of Revenues and Gross Margin

Cost of revenues increased by $798 million, or 13.9%, to $6,554 million in FY2025 from $5,756 million in FY2024. Gross profit margin expanded by 210 basis points to 49.0% in FY2025 from 46.9% in FY2024 due to operational efficiencies at our foundry facility in Oregon and higher software revenue contribution.

Operating Expenses

(in millions)

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Research and Development (R&D): R&D expenses were $1,620 million in FY2025, representing 12.61% of total net revenues, compared to $1,310 million (12.08% of revenues) in FY2024. Investments focused on sub-nanometer optical routing and quantum-resistant encryption protocols.

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Selling, General, and Administrative (SG&A): SG&A expenses were $1,866 million in FY2025, or 14.52% of total revenues, compared to $1,526 million, or 14.08% of revenues in FY2024.

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Liquidity and Capital Resources

As of December 31, 2025, Vortexis maintained $3,650 million in cash and cash equivalents and $1,300 million in short-term marketable securities. Net cash provided by operating activities was $3,420 million, up 28.6% from $2,660 million in FY2024. Capital expenditures (CapEx) for FY2025 were $980 million, representing 28.65% of operating cash flow.

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Vortexis Cybernetics Inc.

Consolidated Statements of Operations

(in millions, except per share amounts)

	Year Ended December 31,		
	2025	2024	2023
Revenues:			
Hardware and system revenues	$ 10,730	$ 9,120	$ 7,720
Software and subscription revenues	2,120	1,720	1,400
Total Net Revenues	12,850	10,840	9,120
Cost of Revenues:			
Cost of hardware and system revenues	5,810	5,130	4,380
Cost of software and subscription revenues	744	626	545
Total Cost of Revenues	6,554	5,756	4,925
Gross Profit	6,296	5,084	4,195
Operating Expenses:			
Research and development	1,620	1,310	1,120
Selling, general, and administrative	1,866	1,524	1,265
Total Operating Expenses	3,486	2,834	2,385
Operating Income	2,810	2,250	1,810
Other Income / (Expense):			
Interest income	110	85	60
Interest expense	(190)	(220)	(240)
Other non-operating expense, net	(20)	(15)	(10)
Income Before Provision for Income Taxes	2,710	2,100	1,620
Provision for income taxes	530	360	230
Net Income	$ 2,180	$ 1,740	$ 1,390
Earnings Per Common Share:			
Basic	$ 6.32	$ 5.10	$ 4.05
Diluted	$ 6.22	$ 5.02	$ 3.98

Weighted Average Shares Outstanding:			
Basic	345.0	341.0	343.0
Diluted	350.5	346.5	349.2

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Vortexis Cybernetics Inc.

Consolidated Balance Sheets

(in millions)

	As of December 31,	
	2025	2024
ASSETS		
Current Assets:		
Cash and cash equivalents	$ 3,650	$ 2,720
Short-term marketable securities	1,300	1,100
Accounts receivable, net	1,980	1,650
Inventories	1,240	1,110
Prepaid expenses and other current assets	420	380
Total Current Assets	8,590	6,960
Property, Plant, and Equipment, net	6,120	5,540
Operating Lease Right-of-Use Assets	1,210	1,280
Goodwill	3,850	3,850
Intangible Assets, net	1,180	520
Other Non-Current Assets	500	450
TOTAL ASSETS	$ 21,450	$ 18,600
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current Liabilities:		

Accounts payable	$ 1,120	$ 980
Accrued compensation and benefits	610	520
Deferred revenue, current portion	1,050	840
Current maturities of long-term debt	400	400
Other current liabilities	510	420
Total Current Liabilities	3,690	3,160
Long-Term Debt, less current portion	3,800	4,200
Operating Lease Liabilities, non-current	1,100	1,150
Deferred Tax Liabilities	410	340
Other Non-Current Liabilities	550	490
Total Liabilities	9,550	9,340
Stockholders' Equity:		
Common stock, $0.001 par value	1	1
Additional paid-in capital	5,820	5,350
Retained earnings	6,360	4,060
Accumulated other comprehensive loss	(280)	(150)
Total Stockholders' Equity	11,900	9,260
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	$ 21,450	$ 18,600

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Vortexis Cybernetics Inc.

Consolidated Statements of Cash Flows

(in millions)

	Year Ended December 31,		
	2025	2024	2023
Cash Flows From Operating Activities:			
Net income	$ 2,180	$ 1,740	$ 1,390
Adjustments to reconcile net income:			
Depreciation and amortization	580	510	460
Stock-based compensation expense	210	180	150
Deferred income taxes	70	45	30
Changes in operating assets and liabilities:			
Accounts receivable	(330)	(210)	(180)
Inventories	(130)	(90)	(80)
Accounts payable and accrued liabilities	840	485	320
Net Cash Provided By Operating Activities	3,420	2,660	2,090
Cash Flows From Investing Activities:			
Capital expenditures (additions to PP&E)	(980)	(820)	(680)
Purchases of marketable securities	(750)	(600)	(500)
Sales of marketable securities	550	450	380
Net Cash Used In Investing Activities	(1,180)	(970)	(800)
Cash Flows From Financing Activities:			
Repayments of long-term debt	(400)	(300)	(200)
Repurchases of common stock	(650)	(450)	(350)
Dividends paid	(280)	(230)	(190)
Net Cash Used In Financing Activities	(1,330)	(980)	(740)
Net Increase in Cash & Cash Equivalents	910	710	550
Cash and Cash Equivalents - Beginning	2,720	2,010	1,460
Cash and Cash Equivalents - End of Period	$ 3,650	$ 2,720	$ 2,010